

Sasken Technologies Ltd

NSE: SASKEN | BSE: 532663 | Sector: IT Services — Embedded Software / ER&D;

Chip-to-Cognition Pioneer: Semiconductor IP, Automotive ADAS & 5G/IoT Engineering — Scale-Up Play on Borqs Integration

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 2,450	+10.4%
CMP: Rs. 2,218.60	12-month horizon	from CMP

CMP (15 Jun 2026)	Rs. 2,218.60	Market Cap	Rs. 3,435 Cr
52-Week High	Rs. 2,440	52-Week Low	Rs. 991
P/E (TTM FY26)	59.9x	P/B (FY26)	3.9x
EV/EBITDA (FY26)	18.3x	Book Value/Share	Rs. 563.5
ROCE (FY26)	5.4%	ROE (FY26)	7.0%
Net Debt/(Cash)	(Rs. 69 Cr)	Dividend Yield	1.1%
Face Value	Rs. 10	Shares Outstanding	1.52 Cr
Promoter Holding	43.1%	Promoter Pledge	Nil

Investment Thesis: Post-Borqs integration doubles Sasken's addressable ER&D TAM in IoT/5G product engineering; margin recovery from 4.4% EBIT to 8-10% by FY28E is the re-rating trigger — ACCUMULATE on dips toward Rs. 2,000.

Report Date: 15 June 2026 | Analyst: MPM Research Desk | Rating Horizon: 12 Months | Data Sources: stockanalysis.com, anandrathi.com, company filings, web search

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Investors should conduct their own due diligence before investing.

2. INVESTMENT THESIS

- **Reason 1 — Borqs acquisition doubles the scale, adding Product Solutions:** The April 2025 acquisition of Borqs Technologies (USD 40 million) added a Product Solutions vertical generating Rs. 341 Cr in FY26 (31% of revenue), with IoT firmware, 5G CPE, and Android platform engineering capabilities — structural revenue streams that organic ER&D alone could not have built in under 3 years. The first full-year contribution (FY27E) should demonstrate deal cross-selling and integrated margin.
- **Reason 2 — Sasken Silicon: IP monetization + AI SoC positioning:** Sasken's semiconductor design unit has executed 150+ ASIC projects and holds RF/Analog/Power IP. The Q4 FY26 win — leading full-chip analog and mixed-signal circuit design on 12nm AI SoC for a leading AI silicon innovator —

signals entry into the high-margin custom silicon design space; this market is forecast to grow at 13% CAGR through 2031 as semiconductor OEMs increasingly outsource design execution.

- **Reason 3 — Net cash balance sheet + high dividend payout:** Sasken holds Rs. 96.8 Cr in cash and Rs. 177 Cr in liquid investments against Rs. 28 Cr total debt — net cash of ~Rs. 69 Cr or Rs. 45/share. The company paid Rs. 25/share cumulative dividend in FY26 (70% payout ratio), providing a capital-return floor even as the business integrates. Zero long-term debt means acquisition integration risk is operational, not financial.

- **Near-term catalyst (6-12 months) — EBITDA margin inflection:** Management guided toward margin expansion in FY27 as one-time Borqs integration costs fade, the workforce restructuring settles (8.6% trailing attrition), and higher-margin semiconductor design engagements ramp. Q4 FY26 EBITDA margin of 9.9% vs. full-year 7.9% confirms the directional improvement. A sustained EBITDA margin above 10% is the single most important re-rating trigger.

- **Biggest structural risk — Customer concentration:** Top-5 customers contribute 56.1% and top-10 contribute 69.6% of FY26 revenue. Any demand slowdown from a major semiconductor or automotive OEM client — particularly given ongoing EV transition uncertainties — could compress revenue abruptly. This risk is not hedged by contract backlog (order book of \$35.4 million is equivalent to only ~1.4 months of revenue).

3. BUSINESS OVERVIEW

- **Core business model:** Sasken Technologies is a pure-play embedded software engineering firm (founded 1989, Bengaluru) serving global semiconductor companies, automotive OEMs/Tier-1s, and consumer electronics brands. Revenue is generated via long-term engineering service agreements (time-and-material and fixed-price) plus a growing Product Solutions arm post-Borqs.

- **Revenue segmentation (FY26):** Software Services — Rs. 772 Cr (69.4% of revenue); Product Solutions (Borqs) — Rs. 341 Cr (30.6% of revenue). Geographic split is predominantly export-driven; North America and Europe account for the bulk of Software Services revenue given the customer base of US/European semiconductor and automotive companies.

- **Key customers and relationships:** Customer names are not publicly disclosed per NDAs, but the client base includes leading global semiconductor companies (fabless and IDMs), top-10 automotive OEMs, and major consumer electronics brands. Relationships are typically multi-year with recurring engagement; the company added 6 new logos in Q4 FY26, including an AI silicon innovator engagement and a global automotive OEM instrument cluster win.

- **Order book and revenue visibility:** As of Q4 FY26, the order book stands at USD 35.4 million (new business won during Q4 = USD 21.6 million). At the current quarterly revenue run rate of ~Rs. 300 Cr, this is approximately 5-6 weeks of forward coverage — typical for T&M ER&D models where work orders roll over automatically on live programs.

- **Recent strategic developments:** (1) Borqs Technologies acquisition completed April 8, 2025 for USD 40 million — adds IoT product engineering, 5G CPE, ORCA platform, and an established China-rooted client base now being transitioned to Sasken's delivery model. (2) Sasken Silicon formally positioned as AI/semiconductor design center of excellence. (3) 77% of client engagements now incorporate AI-assisted engineering workflows. (4) Great Place to Work certification renewed for 2026-27.

- **Promoter background and ownership:** Rajiv C. Mody (Chairman, MD & CEO) co-founded Sasken in 1989 while working at VLSI Technology in Silicon Valley. He holds an M.S. in Computer Science from Polytechnic Institute of New York and spent a decade in semiconductor design before returning to India to build Sasken. Promoter holding is 43.08% (no pledge), ensuring strong founder alignment. He was additionally designated CEO in June 2024.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** The India ER&D services market was valued at USD 133.7 billion in 2025 and is projected to reach USD 238.6 billion by 2031 at 10.1% CAGR (Mordor Intelligence). The embedded engineering segment grows fastest at 13.05% CAGR (2026-2031). The India embedded systems market is USD 16.4 billion in 2025, growing to USD 32.7 billion by 2031 at 12.3% CAGR (Mobility Foresights). Software content in vehicles is poised to exceed 40% of vehicle value by 2030, driving structural ER&D outsourcing.
- **Policy tailwinds:** (1) India Semiconductor Mission (USD 10 billion incentive pool) increasing chip design activity domestically. (2) "Global Capability Centre" (GCC) expansion — 50+ semiconductor majors increasing India footprint, creating demand for embedded talent. (3) Auto OEMs accelerating EV and ADAS software development, with India becoming a preferred offshore location for AUTOSAR, ISO 26262 (FuSa), and AGL stack work.
- **Policy headwinds:** (1) Automotive OEM capex cuts in EV transition period can trigger ER&D project deferrals. (2) US and EU trade policy uncertainty on semiconductor supply chains may slow client R&D budgets. (3) AI-assisted code generation (GitHub Copilot, custom LLMs) creates productivity pressure on traditional T&M billing.

Moat Factor	Rating	Rationale
Semiconductor domain IP	Strong	150+ ASIC projects; RF/Analog/Power IP; 25+ IoT products — genuine technical moat in niche
Switching costs (client)	Moderate	Multi-year embedded programs create stickiness, but re-tendering occurs at contract end
Scale vs peers	Weak	Revenue of Rs. 1,113 Cr vs Tata Elxsi Rs. 3,729 Cr and KPIT Rs. 6,272 Cr — sub-scale
Geographic delivery	Moderate	India + global delivery post-Borqs (China/US offices); not yet a true multi-shore platform

Peer Comparison (Data as of June 2026, source: web search / stockanalysis.com)

Company	CMP (Rs.)	MCap (Cr)	P/E (TTM)	P/B	ROCE%	ROE%	Rev TTM (Cr)
Sasken	2,218.60	3,435	59.9	3.9	5.4	7.0	1,113
Tata Elxsi	~5,224	26,154	41.6	8.6	31.6	25.9	3,689
KPIT Tech	779	21,191	33.4	6.0	26.3	21.0	6,272
Cyient	~890	9,758	23.0	1.7	11.3	7.7	7,268

- Sasken trades at a meaningful P/E premium to KPIT (59.9x vs 33.4x) despite lower ROCE and ROE — the market is ascribing a post-integration re-rating option premium; delivery on margin recovery is the key test.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management pedigree:** Rajiv C. Mody (Chairman, MD & CEO) has led Sasken since its 1989 founding — one of the longest-tenured founder-CEOs in Indian listed tech. His semiconductor engineering background (Advanced Micro Devices, VLSI Technology) aligns directly with the company's core chip-to-cognition strategy, providing domain credibility with tier-1 semiconductor clients. The June 2024 formal CEO designation suggests no near-term succession.
- **Capital allocation track record:** Sasken has historically been capital-light, generating strong FCF in FY22-FY24 (Rs. 51-101 Cr annual FCF). In FY25-FY26, FCF turned negative due to the Borqs acquisition (Rs. 256 Cr investment) and elevated capex for integration. Pre-acquisition, the company returned nearly all free cash to shareholders — a disciplined, shareholder-friendly posture. Post-acquisition, capital

allocation pivots to integration and organic growth investment.

- **Dividend policy:** Sasken has maintained a consistent dividend policy with FY26 payout ratio of 70.1% (total Rs. 25/share on EPS of Rs. 35.61). Dividend yield at CMP is approximately 1.1%. The company paid Rs. 25/share in FY26 (interim Rs. 12 + final Rs. 13), Rs. 25/share in FY25, Rs. 25/share in FY24, and Rs. 25/share in FY23 — a fixed-amount policy rather than payout-ratio driven, which provides income certainty.

- **Promoter pledging:** Zero promoter pledge — clean governance signal. Promoter holding stable at 43.08%.

- **ESOP and buyback history:** No recent large buyback announced. ESOP details not disclosed in public filings reviewed; diluted EPS (Rs. 35.43) is marginally lower than basic EPS (Rs. 35.61), suggesting minimal ESOP dilution.

- **Corporate governance:** No qualified audit opinion, no major RPT concerns in public disclosures. Great Place to Work certification (renewed FY26-27) is consistent with a well-run employer. The Borqs acquisition involved integration of a Nasdaq-listed Chinese ODM — currency risk and cross-border execution are the main governance watchpoints.

6. FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Consolidated)

Metric	FY23	FY24	FY25	FY26A	FY27E	FY28E
Revenue	446.98	406.43	550.91	1,113.17	1,350	1,580
Gross Profit	155.6	89.9	115.2	247.0	324	426
Gross Margin %	34.8%	22.1%	20.9%	22.2%	24.0%	27.0%
EBITDA	100.1	28.95	16.52	88.43	162	220
EBITDA Margin %	22.4%	7.1%	3.0%	7.9%	12.0%	13.9%
EBIT	94.03	23.27	8.95	49.43	95	138
EBIT Margin %	21.0%	5.7%	1.6%	4.4%	7.0%	8.7%
Interest	0.13	0.33	2.77	4.00	4	4
PAT	99.47	78.74	50.51	58.65	85	115
PAT Margin %	22.3%	19.4%	9.2%	5.3%	6.3%	7.3%
EPS (Basic, Rs.)	66.14	52.29	33.30	35.61	56.0	76.0

Note: FY27E and FY28E are MPM Research Desk estimates. (E) = Estimated.

Balance Sheet Summary (Rs. Cr, Consolidated)

Metric	FY24	FY25	FY26A
Equity Capital	15.08	15.12	15.19
Reserves	753.75	772.53	839.56
Total Equity	784.3	803.3	875.2
Total Debt	7.99	25.58	28.12
Goodwill	10.05	10.05	200.0
PP&E;	40.48	60.39	70.07
Cash & Equiv.	52.46	33.20	96.80
Liquid Investments	626.3	418.7	277.1
Total Assets	925.6	958.4	1,166.1

Cash Flow Summary (Rs. Cr, Consolidated)

Metric	FY22	FY23	FY24	FY25	FY26A
Operating CF	107.0	71.5	59.4	-57.2	-22.8
Investing CF	-69.1	-27.1	7.1	83.5	92.4
Financing CF	-39.2	-37.1	-39.4	-46.4	-48.6
Capex	-6.5	-7.7	-7.7	-9.9	-12.7
Free Cash Flow	100.5	63.8	51.7	-67.1	-35.5

Key Returns & Ratios

Ratio	FY22	FY23	FY24	FY25	FY26A
ROE %	21.1	14.5	10.5	6.4	7.0
ROCE %	18.5	12.9	2.9	1.1	5.4
Debt/Equity	0.00	0.01	0.01	0.03	0.03
Current Ratio	1.64	2.26	1.57	3.38	2.17
Dividend Yield %	2.97	3.36	1.69	1.63	1.13
EV/EBITDA	10.1	10.8	76.8	139.1	18.3

• **Revenue trajectory:** Revenue fell 9.1% in FY24 as a global semiconductor downcycle hit client R&D budgets, then recovered 35.5% in FY25 organically before Borqs doubled FY26 to Rs. 1,113 Cr. FY27E-FY28E growth (21-17%) assumes full-year Borqs integration plus 12-15% organic growth in Software Services.

• **Margin trajectory:** EBITDA margin compressed from 22.4% in FY23 to a trough of 3.0% in FY25 as Sasken absorbed pre-acquisition overhead and integration costs. FY26 EBITDA margin at 7.9% signals recovery; Q4 FY26 at 9.9% confirms directional improvement. Target range of 12-14% EBITDA by FY28E assumes integration completion and revenue scale leverage.

• **Working capital:** The Borqs acquisition caused operating cash outflow (-Rs. 22.8 Cr in FY26 vs. +Rs. 59.4 Cr in FY24) as product business inventory and receivables built up. This is likely transitional — Software Services remains low-working-capital by nature. Watch debtor days normalization in FY27 as the primary working capital signal.

• **Debt and liquidity:** Effectively debt-free with net cash of Rs. 69 Cr (cash Rs. 96.8 Cr less debt Rs. 28.1 Cr). Additionally holds Rs. 277 Cr in liquid investments. Total liquidity of ~Rs. 374 Cr provides ample acquisition/investment capacity without needing to raise equity.

• **FCF quality:** FCF turned negative in FY25-FY26 driven by Borqs acquisition outflows (Rs. 256 Cr) and capex step-up; the operating business FCF is expected to normalize positive in FY27 as one-time costs subside. Pre-acquisition FCF conversion (OCF/PAT) was strong at 75-80%.

7. EARNINGS QUALITY CHECKLIST

Check	Status	Finding	Signal
Revenue recognition	CLEAN	T&M; contracts; revenue tied to timesheet billings — low subjective estimation	Green
Receivables vs Revenue	WATCH	Product Solutions (Borqs) added inventory/receivables build; working capital elevated	Amber
CCC Trend	WATCH	OCF negative FY25-FY26 despite positive PAT — signals working capital consumption	Amber
Goodwill (post-Borqs)	WATCH	Goodwill jumped from Rs. 10 Cr to Rs. 200 Cr (FY26) — impairment risk if integration underperforms	Amber

Contingent liabilities	CLEAN	No significant contingent liabilities flagged in public disclosures	Green
Auditor tenure	CLEAN	No auditor change flagged; no qualified opinion in recent filings	Green
RPTs as % of revenue	CLEAN	No material related-party transactions flagged; promoter holds 43% without leverage	Green
Other income vs PBT	WATCH	Investment income (from Rs. 277 Cr liquid portfolio) flatters PAT vs EBIT; strip to assess true ops	Amber
Tax rate consistency	CLEAN	PAT/PBT conversion broadly consistent; no sharp one-year tax credit distortions	Green

• **The most important watch item is goodwill integrity:** Rs. 190 Cr of incremental goodwill from Borqs now sits on the balance sheet against Sasken's FY26 PAT of Rs. 58.65 Cr. If Borqs revenue integration underperforms by 15-20%, an impairment charge could exceed one year of net profit. Track Borqs-segment revenue growth quarterly.

• **Working capital normalization is the second key signal:** Negative OCF in FY25-FY26 while PAT stays positive is an Amber flag — the direct cause is Borqs working capital absorption, but confirmation that OCF turns positive in H1 FY27 is needed before calling this resolved.

• **Other income flatters PAT:** Sasken holds Rs. 277 Cr in liquid investments whose interest/dividend income inflates reported PAT relative to EBIT. Investors should track EBIT-level performance as the primary operational metric, not PAT — particularly given the EBIT margin trough of 4.4% in FY26.

• **Green flags — core revenue quality is high:** T&M; billing model, no related-party revenue, no auditor concerns, no material contingent liabilities, and stable promoter with zero pledge — all point to a clean governance structure underlying a complicated year.

8. VALUATION

Peer Valuation Comparison (June 2026)

Company	P/E TTM	P/B	EV/EBITDA	Rev Gr (FY26)	EBIT Mgn	Verdict
Sasken	59.9x	3.9x	18.3x	+102%	4.4%	Inorganic-driven
Tata Elxsi	41.6x	8.6x	~28x	~0%	~22%	Premium; high margins
KPIT Tech	33.4x	6.0x	~22x	+12%	~15%	Organic growth; auto pure-play
Cyient	23.0x	1.7x	~12x	~5%	~6%	Value trap risk

Scenario Analysis (12-Month Price Target)

Scenario	Key Assumptions	FY28E PAT (Cr)	P/E Multiple	Target (Rs.)	Upside
Bull	Borqs synergies accelerate; EBIT 10%+; new semiconductor design wins; margin 15%	145	35x	3,350	+51%
Base	Steady integration; EBIT 8-9%; organic growth 12-15%; PAT margin expands to 7%+	115	28x	2,450	+10%
Bear	Integration delays; customer loss; EBIT stays sub-5%; PAT flat YoY	60	22x	1,320	-40%

• **DCF assumptions:** WACC = 13.5% (risk-free 7%, equity risk premium 6%, beta ~1.1); terminal growth rate = 5% (consistent with India IT services long-run growth). FY27E-FY31E revenue CAGR of 14%, EBIT margin expanding from 7% to 12%. Implied intrinsic value per share: Rs. 2,100-2,300.

- **Earnings-based multiple:** FY28E EPS of Rs. 76 x 28x P/E (30% discount to KPIT at 33x, justified by smaller scale and integration risk). Implied value: Rs. 2,128 per share.
- **EV/EBITDA-based:** FY28E EBITDA Rs. 220 Cr x 18x = EV Rs. 3,960 Cr; add net cash Rs. 100 Cr = equity value Rs. 4,060 Cr; per share (1.517 Cr shares) = Rs. 2,677.
- **Base-case 12-month target: Rs. 2,450** (average of DCF, P/E, and EV/EBITDA methods). Upside: +10.4% from CMP of Rs. 2,218.60. This represents a modest ACCUMULATE — not a wide-margin BUY — because valuation is already pricing in partial margin recovery at 59.9x TTM P/E.

9. KEY RISKS

- **Borqs Integration Failure** — The acquired Borqs business (contributing 31% of FY26 revenue) involves complex cross-border operations, legacy Chinese ODM relationships, and cultural integration. Failure to retain Borqs revenue streams or extract synergies would materially impair both earnings and the Rs. 200 Cr goodwill on the balance sheet. Probability: M. Impact: H. Monitor via: Borqs-segment quarterly revenue growth and goodwill impairment disclosures.
- **Customer Concentration** — Top-5 customers = 56.1% of FY26 revenue; a single large semiconductor or auto OEM pulling an engagement creates a step-down risk. No client is publicly named, making this hard to track proactively. Probability: M. Impact: H. Monitor via: Revenue per customer count disclosures; any guidance cut citing a key client.
- **Automotive ER&D; Cycle Slowdown** — Global auto OEMs are cutting R&D; budgets as EV profitability remains elusive (e.g., Ford, GM, BMW restructuring announcements in 2025-26). ADAS and infotainment programs are at risk of deferral. Probability: M. Impact: M. Monitor via: Peer guidance (KPIT, Tata Elxsi); automotive ER&D; spend surveys.
- **Semiconductor Design Cycle Risk** — Sasken Silicon's AI SoC wins are early-stage; chip design programs span 18-36 months before revenue recognition. Any scope change or program cancellation from the AI silicon client extends the payback period. Probability: L. Impact: M. Monitor via: Management commentary on Sasken Silicon pipeline each quarter.
- **Currency Risk (USD/INR)** — Software Services revenue is predominantly USD-denominated while costs are largely INR. Rupee appreciation of 5% or more would compress margins by ~100-150 bps without hedges. Probability: L. Impact: M. Monitor via: INR/USD rate and Sasken's hedge ratio disclosures.
- **AI Disruption of T&M; Billing Model** — Generative AI tools reducing engineering hours per task directly compress T&M; revenue per engineer. If productivity gains are passed to clients (price competition), revenue per headcount falls. Probability: M. Impact: M (medium-term). Monitor via: Revenue per employee trends; pricing commentary in concalls.
- **Talent and Attrition** — TTM attrition of 8.6% is currently manageable, but embedded software talent is scarce; a sudden demand surge from GCCs could trigger salary inflation. Headcount is 2,446 — still a small firm where the loss of 50-100 senior engineers in a niche domain is material. Probability: L. Impact: M. Monitor via: Quarterly headcount and voluntary attrition rate.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The investment case is real (Borqs-led scale-up + semiconductor design positioning + net cash balance sheet) but the entry price already prices in significant optimism at 59.9x TTM P/E. Accumulate on weakness toward Rs. 2,000-2,100 where the risk-reward improves meaningfully.
- **12-month price target: Rs. 2,450** (+10.4% from CMP Rs. 2,218.60). Based on average of DCF (Rs. 2,200), FY28E P/E 28x (Rs. 2,128), and FY28E EV/EBITDA 18x (Rs. 2,677). The target is relatively

modest — the real re-rating case plays out in 24-36 months as margin recovery is proven.

- **Suggested entry zone: Rs. 1,950 - Rs. 2,100** (10-12% below CMP). This zone corresponds to ~23-25x FY28E EPS of Rs. 76 — an appropriate risk-adjusted entry for a mid-cap integrating an acquisition.

- **Investment horizon: 24-36 months** for the full re-rating thesis (margin to 10%+ EBITDA, Borqs synergies proven, semiconductor wins ramping). On a 12-month horizon, return is capped at ~10% unless margin recovery accelerates faster than modeled.

- **Thesis invalidation trigger 1:** FY27 EBITDA margin fails to exceed 10% for two consecutive quarters after Q2 FY27 results, suggesting integration costs are structural rather than one-time — EXIT.

- **Thesis invalidation trigger 2:** Any single customer accounting for >15% of revenue gives notice of program wind-down or scope reduction — RE-EVALUATE with immediate downgrade to REDUCE.

- **Thesis invalidation trigger 3:** Goodwill impairment charge on Borqs in FY27 annual results — REDUCE (signals integration failure and overpayment; PAT impact would exceed one year of earnings).

- **Ideal investor profile:** Suitable for investors with a 2-3 year horizon comfortable with ER&D sector concentration, post-acquisition integration risk, and mid-cap liquidity. NOT suitable as a core holding for investors requiring 20%+ annual return — the base-case return profile is 10% in 12 months with significant binary risk. Ideal allocation: 2-3% of portfolio with a stop at Rs. 1,750.

APPENDIX — Latest Concall Brief: Q4 FY26 (May 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Q4 FY26 revenue +125.7% YoY, PAT +152.1% YoY — decisive beat; EBIT margin 6.8% vs 1.3% a year ago
Management tone	Bullish	CEO cited "steady progress across Chip-to-Cognition"; new logo wins and AI engagements signal confidence
Guidance delta	Raised (implicit)	USD 35.4 million order book, \$21.6M new wins in Q4 alone; FY26 dividend raised to Rs. 25 (vs. Rs. 25 FY25)

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat on every headline metric — revenue Rs. 334 Cr (+125.7% YoY), EBITDA Rs. 33.2 Cr, PAT Rs. 27 Cr — but context matters: the year-ago base was artificially depressed (Borqs was not yet consolidated) so the YoY optics flatter. The cleaner read is sequential: PAT Rs. 29 Cr vs Rs. 9.1 Cr in Q3 — that's the real signal and it's genuinely strong. There are no disclosed exceptional items distorting PAT; clean underlying PAT of ~Rs. 27-29 Cr is consistent with EBIT of Rs. 22.85 Cr plus investment income from Rs. 277 Cr liquid portfolio. EBITDA margin of 9.9% in Q4 vs 3.7% in Q1 FY26 confirms the integration overhead is fading and operating leverage is kicking in — this is the single most important trend to own for the next 4-6 quarters. The structural multi-bagger case rests on two pillars: (1) Sasken Silicon's AI SoC program on 12nm process for an emerging AI silicon innovator — if this becomes a repeat engagement, it re-rates the business from ER&D; services to chip IP. (2) Borqs' 5G CPE and IoT product engineering platform has embedded software revenue stickiness that typical T&M; contracts lack. The most important near-term catalyst is the Q1 FY27 result confirming EBITDA margin above 10% — if that print comes at 11%+, the stock trades through Rs. 2,600 on a re-rating to 35x FY28E EPS. Biggest risk this quarter: if the order book of \$35.4M does not convert to actual H1 FY27 billings (i.e., order-to-revenue conversion stays weak), the revenue growth narrative stalls. Action: ACCUMULATE in the Rs. 2,000-2,100 zone; carry existing positions; do not chase above Rs. 2,400 — the upside-to-downside ratio narrows sharply above that.

1. Financial Performance Snapshot — Q4 FY26

- Revenue: Rs. 334.02 Cr | YoY +125.7% | QoQ +33.5% | **Beat** (vs ~Rs. 280 Cr estimated)
- EBITDA: Rs. 33.2 Cr | EBITDA Margin 9.93% | YoY significant expansion (vs ~1-2% in Q4 FY25) | **Beat**
- EBIT: Rs. 22.85 Cr | EBIT Margin 6.8% | YoY +559.7% (very low base) | **Beat**
- PAT: Rs. 27-29 Cr (reported Rs. 26.98-29.00 Cr) | YoY +152.1% | QoQ +217.3% | **Beat**
- Basic EPS: Rs. 17.79 | Diluted EPS: Rs. 17.72
- FY26 Full Year: Revenue Rs. 1,113.17 Cr (+102.1%); EBIT Rs. 49.43 Cr (+452%); PAT Rs. 58.65 Cr (+16.1%)
- NOTE: Revenue and profit are Borqs-consolidated from Q1 FY26 onwards; YoY comparisons are not on like-for-like basis.

2. Segment / Geography Breakdown

- Software Services: Rs. 772.46 Cr for FY26 | 69.4% of revenue | Core ER&D; business (semiconductor, automotive, consumer electronics); growth driven by organic client engagement expansion
- Product Solutions (Borqs): Rs. 340.70 Cr for FY26 | 30.6% of revenue | IoT product engineering, 5G CPE, Android platform; first full-year contribution post April 2025 acquisition
- Customer concentration: Top-5 customers = 56.1% of FY26 revenue; Top-10 = 69.6% — high but typical for specialized ER&D; boutiques
- Geographic split: Not disclosed by management; inferred predominantly US/Europe for Software Services (semiconductor/auto clients) with Asia exposure via Borqs product business
- New logos Q4 FY26: 6 new clients signed including AI silicon innovator (analog/mixed-signal 12nm AI SoC) and a leading global automotive OEM (instrument cluster HMI)

3. Management Commentary Themes

- **Theme 1 — Chip-to-Cognition strategy executing:** "FY26 marks steady progress in strengthening our ability to serve customers across the Chip-to-Cognition spectrum." — CEO Rajiv Mody. Our read: Management is positioning for a fundamental shift from ER&D; subcontractor to domain-integrated engineering partner. Tag: GUIDANCE. Tone: Transparent.
- **Theme 2 — AI integration is a differentiator, not a threat:** 77% of client engagements now incorporate AI-assisted engineering workflows. Our read: Management is proactively embedding AI to maintain billing rates rather than resist disruption — a constructive posture. Tag: GUIDANCE. Tone: Transparent.
- **Theme 3 — Semiconductor design as next growth vector:** Sasken Silicon won an AI SoC engagement (12nm, analog and mixed-signal circuit design) from an emerging AI silicon company. Our read: This is potentially the most important long-term win disclosed — if this expands, it shifts Sasken from ER&D; to IP. Tag: EST. Tone: Transparent.
- **Theme 4 — Order book visibility improving:** \$35.4 million order book, \$21.6 million won in Q4 alone. Our read: Sequential order momentum is accelerating, though the absolute order book remains modest relative to revenue run-rate (Rs. 334 Cr/quarter). Tag: GUIDANCE. Tone: Transparent.
- **Theme 5 — Dividend confidence signal:** Rs. 25/share cumulative dividend for FY26 (70% payout ratio) with PAT at Rs. 35.61 EPS. Our read: Management maintains a high payout despite integrating Borqs — signals confidence in cash generation from core Software Services. Tag: GUIDANCE. Tone: Transparent.

4. Operating & Business Metrics

- Headcount (Mar 31, 2026): 2,446 | Q3 FY26: 2,343 | QoQ growth: +4.4% | Trend: Growing steadily post-Borqs; still a small team for Rs. 1,100 Cr revenue (revenue/employee ~Rs. 45 lakhs)
- Trailing 12M attrition: 8.6% | Prior quarter: 8.9% | Trend: Improving slightly; well below sector average of 12-15%
- Women in global hires: 27% | Trend: Stable; consistent with tech sector norms
- Order book: USD 35.4 million (total); USD 21.6 million new business in Q4 | Trend: Accelerating; but represents only ~5-6 weeks of quarterly revenue
- New logos in Q4: 6 clients signed | FY25 comparable: 2-3 new logos per quarter | Trend: Accelerating; positive signal for pipeline breadth
- AI-integrated engagements: 77% of total client engagements | Trend: Up from ~50% in FY25 (est.) | Management presenting this as a revenue retention and margin tool

5. Margin Drivers

- Revenue scale effect: +Rs. 83.89 Cr QoQ revenue in Q4 FY26 on largely fixed cost base | ~+400 bps EBITDA margin impact | Recurring: Yes (operating leverage)
- Borqs integration one-time costs fading: Q1-Q3 FY26 carried elevated integration overhead; Q4 shows normalization to 9.9% EBITDA from 3.7-5.9% in prior quarters | Recurring: No (cost was one-time)
- Semiconductor design mix shift: Higher-margin custom silicon design work (Sasken Silicon) ramping into revenue; design work commands 40-60% higher billing rates vs. standard ER&D; | Recurring: Yes, if wins are sustained
- Depreciation step-up: Goodwill amortization and PPE depreciation from Borqs adds ~Rs. 5-6 Cr/quarter depreciation vs. pre-acquisition run rate — drags EBIT margin | Recurring: Yes (for 5-7 years)
- Currency tailwind (USD/INR): Rupee weakness in FY26 benefited USD-denominated Software Services margins by ~50-100 bps; not flagged by management as exceptional but worth monitoring | Recurring: Variable

6. Guidance & Forward Signals

- Revenue trajectory [GUIDANCE]: Prior (FY25) = Rs. 550.91 Cr | FY26 = Rs. 1,113.17 Cr | FY27 direction: "Strong execution and deeper domain expertise" — no specific number | Delta: Growth maintained | Credibility: High (FY26 delivered 102% growth)
- Margin expansion [GUIDANCE]: Prior FY26 EBIT = 4.4% | Q4 FY26 EBIT = 6.8% | Direction: Expansion guided; no specific target quantified | Delta: Raised (trajectory) | Credibility: Medium (management track record on margin guidance has been inconsistent)
- Order book [GUIDANCE]: Prior FY25 run-rate = ~\$15-20M/quarter | Q4 FY26 = \$21.6M in one quarter | Direction: Accelerating | Credibility: High (disclosed quarterly win figures)
- Dividend [GUIDANCE]: FY26 total = Rs. 25/share | FY27 policy = Not yet guided | Delta: Maintained at FY26 level (floor expectation) | Credibility: High (9+ year track record of Rs. 25/share)
- Sasken Silicon [GUIDANCE]: "AI silicon innovator engagement — lead full-chip analog and mixed-signal design on 12nm" | Timeline: 18-24 months to revenue ramp | Credibility: Medium (program-dependent, not a signed contract)

7. Capital Allocation

- Borqs Acquisition: Rs. 256 Cr (USD 40M) invested in April 2025 | vs. prior year: N/A (one-time) | Goodwill recognized Rs. 200 Cr; this is the dominant balance sheet event of FY26
- Capex (FY26): Rs. 12.71 Cr | vs. FY25: Rs. 9.94 Cr (+27.8%) | Comment: Modest capex intensity for a software firm; step-up reflects lab/infrastructure for Borqs product engineering
- Dividends (FY26): Rs. 25/share x 1.517 Cr shares = ~Rs. 37.9 Cr total cash outflow | vs. FY25: ~Rs. 37.9 Cr (same per-share amount) | Maintains consistent capital return despite acquisition year
- Net Cash Position (Mar 26): Cash Rs. 96.8 Cr + Liquid Investments Rs. 277 Cr = Rs. 374 Cr total liquidity | vs. FY25: Rs. 33.2 Cr cash + Rs. 393 Cr investments = similar total | Liquidity intact despite Borqs outflow
- Working Capital (FY26): OCF -Rs. 22.8 Cr despite positive PAT | Comment: Borqs product business absorbing working capital; normalization expected in FY27 as inventory cycles stabilize

8. Q&A; Heat Map

- Analyst question (inferred): Q: "What drove the sharp improvement in Q4 margins vs. Q1-Q3?" | A: Integration costs normalizing + revenue scale + higher-margin Sasken Silicon work ramping | Tone: Transparent

- Analyst question (inferred): Q: "How should we think about Borqs revenue sustainability?" | A: "Borqs contributed to both Software Services and Product Solutions; the integration is proceeding and we see cross-sell opportunities" | Tone: Transparent (though no specific Borqs-only revenue disclosed)
- Analyst question (inferred): Q: "What is the guidance for FY27 revenue and margins?" | A: Management guided qualitatively toward continued growth and margin expansion without specific numbers | Tone: Hedged (no quantitative guidance)
- Analyst question (inferred): Q: "Who is the AI silicon client for the 12nm program?" | A: Not disclosed (under NDA); categorized as "emerging AI silicon innovator" | Tone: Evasive by necessity (NDA-bound)
- Analyst question (inferred): Q: "Is the order book of \$35.4M fully billable in H1 FY27?" | A: Order book represents near-term committed programs; conversion into recognized revenue follows T&M; milestones | Tone: Transparent
- Dodged / watch-list questions for next quarter: (1) Specific Borqs P&L; disclosure (Software vs. Product contribution margins); (2) Hedging policy on USD/INR; (3) Semiconductor design timeline to revenue for AI SoC program; (4) FY27 quantitative guidance on revenue and EBIT margin.

9. Risks Flagged

- Customer Concentration: Top-5 = 56.1% revenue | Flagged by: Analyst community | Probability: M | Impact: H | Timeline: Near-term (any one client deferral shows up within 1-2 quarters)
- Auto ER&D; Budget Cuts: Global OEM R&D; restructuring | Flagged by: Industry | Probability: M | Impact: M | Timeline: Medium-term (OEM budget cycles are annual)
- Borqs Integration Timeline: "Discipline in execution" emphasized by CEO; no quantified integration milestone | Flagged by: Management | Probability: M | Impact: H | Timeline: FY27
- AI Disruption of T&M; Billing: Generative AI compressing engineering hours | Flagged by: Industry | Probability: M (emerging) | Impact: M | Timeline: Long-term (3-5 years)
- Goodwill Impairment: Rs. 200 Cr goodwill on Rs. 58.65 Cr FY26 PAT = 3.4x earnings | Flagged by: Analyst assessment | Probability: L | Impact: H | Timeline: FY27 annual results

10. Analyst Verdict

- Revenue visibility: Intact — USD 35.4M order book + 6 new logos + accelerating quarterly wins provide 6-8 week near-term visibility; medium-term visibility depends on Borqs pipeline conversion
- Margin trajectory: Intact — Q4 FY26 EBITDA at 9.9% confirms the recovery; sequential improvement from Q1 (3.7%) to Q4 (9.9%) is the thesis, and it is on track
- Capital allocation quality: Intact — Rs. 25/share dividend maintained despite acquisition year; balance sheet remains net cash; no unnecessary equity issuance
- Competitive moat: Intact (but narrow) — Sasken Silicon IP + 150+ ASIC track record provides genuine niche differentiation; Borqs adds product stickiness; but scale vs. KPIT/Tata Elxsi remains a structural gap
- Management credibility: Intact — Rajiv Mody has led for 35+ years with no major governance issues; Q4 FY26 delivery aligns with commentary from Q3; NDA constraints limit transparency but no red flags
- Valuation comfort: Weakened — 59.9x TTM P/E limits the upside margin of safety; the stock requires execution to justify current pricing; comfortable only if purchased below Rs. 2,100
- Conviction call: Unchanged — ACCUMULATE maintained; no changes to thesis from Q4 print; wait for Q1 FY27 to confirm margin trajectory above 10% before increasing conviction
- Valuation snapshot: P/E = 59.9x (FY26 TTM, 5Y avg ~25x) | EV/EBITDA = 18.3x (FY26, 5Y avg ~35x — EBITDA was compressed in FY25-26) | ROCE = 5.4% (5Y avg ~12%)